

SOP_03_fraud_investigation

MERIDIAN TRUST BANK

STANDARD OPERATING PROCEDURE — FRAUD INVESTIGATION

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Owns Rules	BNK-FRAUD-RULE-001..010, BNK-SEC-RULE-010

1. Purpose

Standardize the intake, containment, and routing of fraud reports — card fraud, check fraud, wire fraud, account takeover, and elder/vulnerable customer financial exploitation — so that customer losses are minimized and the bank's Regulation E and BSA obligations are met.

2. Pre-Conditions

- 3-of-5 identity verification complete (BNK-CC-RULE-004).
- The case involves fraud (third-party unauthorized activity) and not a merchant billing dispute (which routes to Operations).

3. Procedure by Fraud Type

3A. Card Fraud (lost/stolen card with unauthorized charges)

1. Close the compromised card immediately (BNK-FRAUD-RULE-002) — even before provisional credit decision.
2. Order replacement: 3-5 business days standard or 1 business day expedited (expedite fee waived for fraud).
3. Run BNK-FRAUD-RULE-001 freeze on the disputed amount(s).
4. Take the Reg E dispute per SOP-02.
5. Open Fraud Operations ticket — 4-hour follow-up SLA.

3B. Check Fraud (forged/altered checks)

1. Place a check-by-check hold on the disputed item(s) (BNK-FRAUD-RULE-003).
2. Image the disputed item(s) for the Fraud team.
3. Customer may need to complete an Affidavit of Forgery (mailed to address on file).
4. Open Fraud Operations ticket — final determination within 10 business days.

3C. Wire Transfer Fraud (recent send to fraudulent beneficiary)

1. Time is the critical variable — invoke BNK-FRAUD-RULE-006 Wire Recall procedure WHILE the customer is on the line.
2. Contact Wire Operations via warm-line (single-tier exception for wire recall only).
3. If wire is within ~24 hours of send, recall may be possible; do not promise recovery.
4. Open Fraud Operations ticket regardless of recall outcome.

3D. Account Takeover (unauthorized login activity, password changed, contact info changed without customer's action)

1. Execute BNK-SEC-RULE-010 full procedure: freeze, Security Review flag, Fraud Ops ticket, password change advice.
2. Mail Identity Theft Affidavit packet to address on file (NOT to any address provided on the call — per BNK-FRAUD-RULE-009).
3. Advise customer to:
 - o Place fraud alert with the three credit bureaus
 - o File a report at IdentityTheft.gov
 - o Change passwords on any account that may share credentials
4. The banker MUST NOT file these on the customer's behalf (BNK-FRAUD-RULE-010) — they are personal-protection actions only the customer can take.

3E. Elder / Vulnerable Customer Financial Exploitation (BNK-FRAUD-RULE-007)

This is the most sensitive fraud category. Customer is often unaware they are being scammed, or is being coerced into the transaction.

Warning signs: - Urgency (“I need to send this right now or there will be a problem”) - Secrecy (“don’t tell my son about this transaction”) - Third-party direction (“the IRS / Social Security Administration / Microsoft / my grandson is on the other line telling me to do this”) - Unusual destination — international wire to unknown beneficiary, gift card purchase, cryptocurrency exchange - Customer cannot clearly state why the funds are being sent

Required actions when signs are present: 1. **PAUSE the requested transaction** — do not process. Stall politely if needed (“the system is taking a moment”). 2. **Switch to BNK-FRAUD-RULE-008 tone:** slower pace, lower pitch, gentler. Use the Suspected Financial Exploitation script (in the system). 3. **Ask probing questions:** - “Can you tell me a bit about who you’re sending this to and why?” - “Has anyone asked you to keep this transaction private from family members?” - “Are you on another call right now while we speak, or did someone direct you to make this transaction?” 4. **Decline the transaction** if exploitation is more likely than not. The customer’s wishes do NOT override this duty (BNK-FRAUD-RULE-007). 5. **Offer the trusted-contact callback** (Senior Safe Act consent) — ask if you may contact a designated trusted contact while the customer holds. 6. **Open FRAUD-RULE-007 case** immediately on the call. 7. **File Adult Protective Services referral** if state law requires (the case-management system flags this).

4. Common Failure Modes (QA Watch List)

- Issuing a refund directly without provisional credit and investigation → BNK-FRAUD-RULE-005 CRITICAL
- Failing to close the card on stolen-card claim → BNK-FRAUD-RULE-002 violation
- Processing the wire/transaction at the elder customer’s insistence when exploitation signs are present → BNK-FRAUD-RULE-007 CRITICAL
- Telling the customer a SAR has been or will be filed → BNK-REG-RULE-011 federal violation

- Sending the Identity Theft Affidavit to an address provided on the call rather than the address on file → BNK-FRAUD-RULE-009 violation

5. Compliance Anchors

- Customer must NEVER be told a SAR has been filed (BNK-REG-RULE-011).
- Customer must NEVER be confronted with suspected first-party fraud on the call — route quietly to Fraud Investigations.
- Banker must NOT promise a refund before adjudication (BNK-FRAUD-RULE-005).

6. Escalation Routes

- Wire recall in progress → Wire Operations warm-line (immediate)
- Suspected account takeover → BNK-SEC-RULE-010 freeze procedure (immediate)
- Suspected elder exploitation → FRAUD-RULE-007 case + Senior Safe trusted-contact call + APS referral (immediate)
- Suspected first-party fraud → Fraud Investigations ticket (do NOT confront the customer)